



## **Brazilian Financial Ecosystem Report**

**SEED Consulting Spring 2023**

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## **Introduction**

Our project this semester focused directly on financial health within the country of Brazil. The main objective of this work was to conduct a deep analysis of the Brazilian financial ecosystem through primary and secondary research on the major players in the ecosystem. The goal of the project was to create strong foundational knowledge of the financial dynamics in Brazil, enabling FinMango to better plan and navigate future work in Brazil.

Brazil's financial ecosystem is diverse and complex, with a mix of traditional and modern financial services providers. Our conversations and secondary research led us to focus on six interconnected sectors of the Brazilian financial ecosystem: Banks, government organizations, financial education institutions, financial technology, insurance companies, and non-profit organizations. Within the report, for each sector we provide an overview of the landscape, define major players, discuss the macroeconomic effects of the sector's activity, and finally summarize major challenges within that sector.

While each of the six sectors is characterized by nuanced dynamics, they are all interconnected within the broader ecosystem and share many of the same challenges. Given this, we were able to draw out four overarching financial challenges across the sectors: limited financial education, lack of financial inclusion, cybersecurity threats, and regulatory constraints. These overarching financial health threats will likely be important areas for FinMango to consider going forward, as the organization strategizes future projects in Brazil.

The country's financial system is regulated by the Central Bank of Brazil, which oversees monetary policy, currency issuance, and the financial sector as a whole. The country has a large and sophisticated banking sector, with several major banks dominating the market. These banks offer a wide range of services, including commercial banking, investment banking, insurance, and asset management. In recent years, Brazil has also seen a rise in fintech companies, which are disrupting traditional financial services by offering innovative and technology-driven solutions. These fintech companies are focused on providing digital banking, payments, lending, and investment services to consumers and businesses. Based on this high-level overview of the financial ecosystem we were able to develop this report which covers many of the different sectors of the Brazilian economy that we sought to understand. To begin, we dive into the Brazilian banking system. We then moved towards financial education but also gained an overview of the overall Brazilian education landscape as well. Based on this, we decided that further research on financial technology would be the next logical step in the puzzle. Next, we targeted government organizations and their relation to the financial ecosystem with an additional focus on credit card theft which is a major issue currently being faced by many Brazilians. We then finish with a discussion of insurance companies, and non-profit organizations, alongside a summary of the overarching financial challenges being faced.

## **Banks**

### **Brazilian Banking Landscape:**

The Brazilian banking system is made up of several types of financial institutions, including commercial banks, development banks, investment banks, and credit unions. The

country's financial system is regulated by the Central Bank of Brazil, which is responsible for maintaining financial stability, ensuring the safety and soundness of financial institutions, and promoting financial inclusion.

The Brazilian banking system has undergone significant changes in recent years. One of the main drivers of this change has been the modernization of the regulatory framework that governs the banking sector. The Central Bank of Brazil, which is responsible for regulating the banking industry, has implemented a series of measures aimed at promoting competition, increasing efficiency, and improving access to financial services. For example, in 2020, the Central Bank introduced a new regulatory framework that enables fintechs and other non-banking institutions to operate as payment institutions, which has increased competition in the payment industry.

Another factor that has contributed to changes in the Brazilian banking system is the increasing adoption of technology. Banks in Brazil have been investing heavily in digital technologies to improve the customer experience and reduce costs. The adoption of digital technologies has also enabled banks to expand their reach and offer services to customers who were previously underserved, such as those in rural areas. Overall, the changes in the Brazilian banking system have been positive, as they have led to greater competition, increased efficiency, and improved access to financial services. These changes have also helped to promote financial inclusion, which is particularly important for refugees who may have limited access to financial services.

### **Major Players in the Brazilian Banking System:**

The Brazilian banking sector is dominated by a few major players, which include Banco de Brasil, Caixa Econômica Federal, Itaú Unibanco, Bradesco, and Santander. These banks have a significant presence in the market and are responsible for a significant portion of the country's financial transactions.

Itaú Unibanco is the largest bank in Brazil, with total assets of BRL 1.7 trillion (USD 312 billion) as of December 2020. The bank was formed by the merger of Banco Itaú and Unibanco in 2008. Itaú Unibanco has a strong focus on retail banking and provides a broad range of financial services to its customers.

Banco do Brasil is the second largest bank in Brazil, with total assets of BRL 1.6 trillion (USD 294 billion) as of December 2020. The bank was established in 1808 and is owned by the Brazilian government. Banco do Brasil has a broad network of branches and ATMs, making it one of the most accessible banks in the country.

Bradesco is the third-largest bank in Brazil, with total assets of BRL 1.6 trillion (USD 294 billion) as of December 2020. The bank was established in 1943 and has a strong focus on commercial and corporate banking. Bradesco has a broad network of branches and is known for its personalized service.

Caixa Econômica Federal is a state-owned bank that focuses on social and economic development projects. The bank has total assets of BRL 1.3 trillion (USD 238 billion) as of December 2020. Caixa Econômica Federal has a strong presence in the housing market and provides funding for social programs.

Santander is a Spanish bank with a significant presence in Brazil. The bank has total assets of BRL 653 billion (USD) as of December 2020. Santander has been expanding its presence in the country through acquisitions and strategic partnerships.

These major players in the Brazilian banking system have succeeded by adapting to changing market conditions and embracing new technologies. They have also been able to leverage their strong brand recognition and extensive distribution networks to expand their market share. Additionally, the Brazilian government's regulatory policies have played a role in promoting competition and ensuring a level playing field in the banking sector.

### **Macroeconomic Effects:**

The banking system plays a critical role in the Brazilian economy, providing financing and other financial services to businesses and individuals. Access to credit has been instrumental in promoting economic growth and development in the country. The Brazilian banking system has also contributed to financial inclusion, as more people have gained access to banking services, including those in rural and underserved areas. Still, as of 2021, approximately 45% of the adult population in Brazil did not have access to credit from a formal financial institution. This is a significant challenge for the country's economy, as access to credit is a key driver of economic growth and development. It also underscores the importance of promoting financial inclusion and expanding access to financial services, particularly for underserved communities.

The banking system's impact on the economy extends beyond providing access to credit. Banks play a critical role in channeling savings into investments and promoting the efficient allocation of resources. Additionally, the banking system plays a role in reducing the risk of financial instability and promoting macroeconomic stability. They act as intermediaries between savers and borrowers, mobilizing resources and allocating them efficiently to productive activities. By doing so, they help to promote economic growth, create jobs, and reduce poverty. At the same time, banks are subject to prudential regulation and supervision by the Central Bank of Brazil, which helps to mitigate the risks of financial instability. This includes requirements for capital adequacy, risk management, and liquidity, as well as monitoring and surveillance of systemic risks. Additionally, the banking system in Brazil is integrated into the broader financial system, which includes capital markets, insurance companies, and other financial institutions. This integration helps to diversify risks and promote resilience in the face of shocks or disruptions.

According to data from the Central Bank of Brazil, the country's banking system's total assets amounted to BRL 18.8 trillion (USD 3.45 trillion) as of December 2020. The sector's contribution to the country's GDP was 6.8% in 2019, according to data from the Brazilian Banking Federation.

### **Banking System Problems:**

The Brazilian banking industry has made significant progress in recent years, but there are still several challenges that need to be addressed. One of the biggest problems is high interest rates, which can make borrowing prohibitively expensive for many consumers and small businesses. According to data from the Central Bank of Brazil, the average interest rate on consumer loans in Brazil was 52.5% per year as of February 2022, which is among the highest in the world. To tackle this issue, the Brazilian government can consider implementing policies to increase competition in the banking sector, such as promoting the entry of new players and supporting the growth of fintechs. This can help to reduce interest rates and improve access to credit. Additionally, banks can explore alternative lending models, such as peer-to-peer lending, that may offer more favorable rates to borrowers.

Another challenge is the lack of financial education, particularly among underserved communities. According to a survey by the Brazilian Association of Credit Card and Services Companies, only 20% of Brazilians have received formal financial education. To address this issue, banks can collaborate with government agencies, educational institutions, and non-profit organizations to develop and promote financial education programs for consumers of all ages and backgrounds. These programs can cover topics such as budgeting, saving, investing, and credit management. Additionally, banks can improve transparency and simplify their products and services to help consumers better understand their options.

A third challenge that Brazilian banks face is cybersecurity threats. As banks increasingly rely on digital technologies, they become more vulnerable to cyberattacks. According to a report by Kaspersky, a cybersecurity firm, Brazil is the most targeted country in Latin America for cyberattacks. In addition, a study by the Brazilian Federation of Banks found that cybersecurity incidents increased by 40% in 2020 compared to the previous year. Cybersecurity threats can range from data breaches that compromise customer information to sophisticated attacks that disrupt banking operations. To address this problem, banks need to invest in robust cybersecurity infrastructure, including firewalls, encryption, and intrusion detection and prevention systems. They should also implement strict access controls and regularly conduct security audits to identify and address vulnerabilities. Additionally, education and training programs should be provided to staff and customers to promote awareness of cybersecurity threats and best practices to mitigate them.

By focusing on increasing competition, promoting financial education, and improving cybersecurity, Brazilian banks can better serve their customers and contribute to the country's economic development.

## **Conclusion:**

The banking system in Brazil is a critical component of the country's economy, providing financial services and promoting economic growth and development. The sector is dominated by a few major players who have succeeded by adapting to changing market conditions and leveraging their brand recognition and distribution networks. The banking system's impact extends beyond providing access to credit, as it plays a critical role in channeling savings into investments, promoting the efficient allocation of resources, and reducing the risk of financial instability.

## **Government Organizations**

### **Brazilian Government Organizations Landscape:**

Brazil's financial system is regulated by a complex network of government organizations that oversee financial activities, protect consumers, and promote financial stability. The Central Bank of Brazil, established in 1964, is the country's main regulatory authority for the financial sector, responsible for supervising banks, financial institutions, and payment systems.

Importantly, Brazil's financial system still faces substantial financial health challenges, including low financial inclusion and high levels of debt. According to a 2021 survey by the World Bank, only 60% of adults in Brazil have a bank account, compared to an average of 69% in Latin America and the Caribbean. Additionally, Brazil's public debt stands at approximately

90% of GDP, one of the highest levels in the region. The government plays a crucial role in the setting the foundation for successfully overcoming these substantial financial challenges.

### **Major Government Players in the Brazilian Financial Sector:**

Brazil's financial sector is regulated by several key government organizations, including the Central Bank of Brazil, the National Monetary Council (CMN), and the Securities and Exchange Commission of Brazil (CVM).

The Central Bank of Brazil is responsible for supervising banks, financial institutions, and payment systems. In addition, it sets monetary policy in Brazil, with a mandate to maintain price stability and promote sustainable economic growth. The bank is led by a President, currently Roberto Campos Neto, who is appointed by the President of Brazil. However, the Central Bank of Brazil has faced allegations of corruption and bribery in the past. In 2019, for example, there were reports of a money laundering scheme involving the former governor of the Central Bank of Brazil, among others. However, it is important to note that these are allegations and not confirmed facts. Additionally, as of February 25<sup>th</sup>, 2021, the Central Bank of Brazil now formally operates independently from the Brazilian government and has autonomy in making decisions regarding monetary policy.

The National Monetary Council (CMN) is responsible for developing and implementing policies related to monetary, credit, and foreign exchange matters. It is composed of the Minister of Finance, the President of the Central Bank, and the Minister of Planning. The CMN sets interest rates, regulates credit operations, and oversees foreign exchange policies. Specifically the CMN has implemented several policies in response to the COVID-19 pandemic and to maintain Brazil's inflation target. In December 2020, the CMN approved a low-interest loan program called Pronampe to support small businesses affected by the pandemic. The CMN has also kept Brazil's benchmark interest rate (Selic) at its historic low of 2.00% to stimulate the economy. In March 2021, the CMN decided to maintain Brazil's inflation target at 3.75% for 2021 and 3.50% for 2022. These policies aim to mitigate the economic impacts of the pandemic and ensure that Brazil maintains its inflation targets.

The Securities and Exchange Commission of Brazil (CVM) regulates securities markets and oversees investment funds. The CVM ensures that companies and financial institutions comply with regulations, and protects investors from fraudulent or unethical practices. It is led by a President, currently Marcelo Barbosa, who is appointed by the President of Brazil. Specifically, the CVM has implemented several policies in recent years to improve the transparency and stability of the Brazilian securities market. In 2019, the CVM implemented new rules for the distribution of investment funds that require greater disclosure and transparency from fund managers. The CVM has also implemented new regulations for digital securities offerings, such as initial coin offerings (ICOs), to protect investors from fraud and ensure compliance with Brazilian securities laws. In addition, the CVM has increased its supervision of financial intermediaries and implemented stricter penalties for violations of securities laws. These policies aim to promote a fair, transparent, and stable securities market in Brazil.

### **Macroeconomic Effects:**

Government organizations related to finance in Brazil have a significant impact on the country's macroeconomic performance. One of the key ways in which the government affects the macroeconomy is through its monetary policy. Brazil's central bank, the Banco Central do Brasil,

is responsible for setting interest rates and implementing other monetary policies to achieve its inflation targets. In 2020, the central bank's inflation target was 4%, and it implemented several measures to achieve this target, including lowering interest rates to a historic low of 2%.

Another way in which the government impacts the macroeconomy is through its fiscal policy. The government's fiscal policy includes its spending and revenue-raising policies, as well as its management of public debt. In recent years, Brazil has faced challenges in managing its public debt, which has led to increased borrowing costs and decreased investor confidence. The government has implemented several measures to address these challenges, including a proposed pension reform and efforts to reduce spending on social programs.

The government also plays a role in promoting economic growth and development through its investment in infrastructure and other public projects. For example, the government has invested in large-scale infrastructure projects, such as the Belo Monte Dam and the Rio-São Paulo High-Speed Rail, to support economic growth and development in the country.

### **Credit Card Theft and the Brazilian Government's Actions to Mitigate it:**

Credit card theft is a growing issue in Brazil. Thieves have a variety of different avenues through which they commit the theft. One common tactic is hacking into databases which are very insecure in Brazil. Another way is by installing onto ATM's or other POS terminals. Some thieves even resort to phishing techniques to trick individuals into giving away their information.

Due to this growing concern, the Brazilian government has taken steps to mitigate the problem. Among these steps, the government has required banks to use more secure credit card technologies, while also implementing more strict punishments for the crime. They have also heavily advised that common consumers take personal steps to avoid theft. This includes regularly checking their credit statements and being more cautious of where they use their cards. Especially for young adults who may not be educated on the basic precautions of owning a credit card, taking these small steps is crucial for maintaining financial safety with credit cards.

Recently, in August 2022, the Brazilian government began an investigation into 23 different financial institutions for supposedly issuing unsolicited credit cards without the cardholders' permission. Accusations state that clients were unknowingly signed up for cards when they applied for payroll loans. If allegations prove to be true, this would indicate that the level of corruption amongst financial institutions may be much deeper than originally anticipated.

### **Government Finance Problems in Brazil:**

Brazil faces several financial challenges, including high levels of public debt, corruption, and political instability. The country's public debt has been increasing rapidly in recent years, reaching 90% of its GDP in 2020. This increase has been primarily driven by the country's fiscal deficit, which occurs when the government spends more money than it receives in revenue. This deficit has been exacerbated by a number of factors, including economic recession, declining commodity prices, and rising social welfare spending. Additionally, the Brazilian government has struggled with corruption and mismanagement of public funds, which has further contributed to the country's fiscal woes. Another driver of the increasing public debt is Brazil's high interest rates, which make it more expensive for the government to borrow money. Finally, the COVID-19 pandemic has had a significant impact on Brazil's economy, leading to increased spending on healthcare and emergency relief programs, which has further added to the country's public debt burden. This is a cause for concern, as a high level of debt can lead to decreased



investor confidence, higher borrowing costs, and potential default. Additionally, the country's tax system is complex and inefficient. These tax system inefficiencies can be defined by a high level of bureaucracy, which can result in delays and inefficiencies in tax collection and administration. Another problem is the high number of taxes, fees, and charges levied by different levels of government, which creates a fragmented tax system and can lead to duplication and overlap of tax obligations. Additionally, the tax burden is unevenly distributed, with some sectors of the economy bearing a disproportionate amount of the tax burden while others are relatively lightly taxed. This can lead to distortions in the economy and reduce incentives for investment and growth. Finally, there is a significant amount of tax evasion and informal economic activity, which reduces the overall effectiveness of the tax system and undermines the government's ability to collect revenue. In 2019, Brazil's tax burden was 32.4% of its GDP, which is one of the highest among OECD countries.

Corruption has long plagued the country, with the ongoing Operation Car Wash investigation revealing widespread corruption in both the public and private sectors. The operation was focused on uncovering a massive kickback scheme involving government officials, politicians, and business executives, who allegedly took bribes in exchange for awarding contracts with state-owned oil company Petrobras. The investigation also revealed the involvement of major construction companies in the scheme, who allegedly formed a cartel to inflate the cost of Petrobras projects and then paid bribes to government officials and politicians to secure contracts. Operation Car Wash led to the arrest and conviction of dozens of high-profile individuals, including former President Luiz Inácio Lula da Silva, and the recovery of billions of dollars in assets. This has led to a lack of public trust in government institutions, hindering the government's ability to implement effective policies and reforms. Additionally, political instability has been a recurring issue in Brazil, with frequent changes in government and policy direction. This can lead to uncertainty and a lack of confidence among investors, further exacerbating the country's financial challenges.

Furthermore, Brazil has one of the highest levels of income inequality in the world, with a Gini coefficient of 0.53 in 2020. This is due in part to a lack of effective social policies and inadequate investment in education and healthcare, leading to limited opportunities for social mobility. The high level of income inequality can lead to social tensions and hinder economic growth, as a large portion of the population may not have the purchasing power to support businesses and drive economic activity.

To address these financial challenges, the government of Brazil will need to implement effective policies and reforms that prioritize transparency, accountability, and stability. This may include tax reform to simplify and streamline the tax system, efforts to combat corruption and improve public trust in government institutions, and social policies aimed at reducing income inequality and promoting social mobility.

## **Conclusion:**

In conclusion, Brazil's financial ecosystem is shaped by numerous government organizations, including the Central Bank of Brazil, the Brazilian Securities and Exchange Commission, and the National Treasury. However, the country faces numerous financial challenges, including high levels of public debt, corruption, and income inequality. The government of Brazil plays a significant role in shaping the country's macroeconomy through its monetary and fiscal policies. In order to address these challenges and promote sustainable

economic growth, the government will need to implement effective policies and reforms that prioritize transparency, accountability, and stability.

## **Financial Education**

### **Brazilian Financial Education Landscape:**

The Brazilian financial education system is supported by a range of institutions and organizations, including the government, NGOs, financial institutions, and educational institutions.

The National Financial Education Strategy (ENEF) is the cornerstone of the Brazilian financial education system. Launched in 2010, ENEF aims to promote financial education and inclusion in the country through education, regulation, inclusion, and supervision. Since its launch, ENEF has made significant strides in improving financial literacy and inclusion in Brazil. According to a survey conducted by the Brazilian Central Bank, the proportion of financially illiterate Brazilians has decreased from 41% in 2014 to 35% in 2018.

One of the critical achievements of the Brazilian financial education system has been the increase in access to financial services. According to a study by the World Bank, the percentage of Brazilian adults with a bank account increased from 40% in 2011 to 70% in 2017. This increase in access to financial services has been a key driver of financial inclusion in the country.

However, there are still significant challenges facing the Brazilian financial education system. One of the most pressing issues is the lack of access to financial education resources in certain areas of the country, particularly in rural areas and low-income communities. According to the same survey by the Brazilian Central Bank, only 23% of Brazilians living in rural areas have access to financial education resources, compared to 47% of those living in urban areas.

Furthermore, there is a significant gap in financial literacy levels among different socio-economic groups. According to the same survey by the Brazilian Central Bank, financially illiterate Brazilians are more likely to have lower levels of education and income, and are more likely to be unemployed. This lack of financial literacy leads to unequal opportunities for financial success and perpetuates the cycle of poverty.

### **Major Players in the Brazilian Financial Education System:**

The Brazilian financial education system is supported by a wide range of institutions and organizations, including the government, NGOs, financial institutions, and educational institutions.

Non-governmental organizations (NGOs) play a critical role in the Brazilian financial education system. These organizations often work in partnership with the government and financial institutions to provide financial education and support to low-income communities and underserved populations. Some of the key financial education NGOs in Brazil include the Instituto de Defesa do Consumidor (IDEC), which provides financial education resources and advocacy for consumer rights, and the Instituto Akatu, which focuses on promoting sustainable consumption and financial behaviors.

Educational institutions, including universities and schools, also play a critical role in promoting financial education in Brazil. Many universities offer courses and programs in financial education and management, and some schools have incorporated financial literacy into

their curriculum. For example, the Federal University of Rio Grande do Sul offers a course in financial education as part of its undergraduate program in business administration. There are also high levels of gender inequality across schools in Brazil. As opposed to American public schools, public schools in Brazil are below average which leads to greater wealth inequality. Furthermore, a lack of access to education is also one of the main inequalities that affects young people in Brazil, specifically those with poor financial health situations.

While these players have made significant contributions to the Brazilian financial education system, challenges remain. According to a survey conducted by the Brazilian Central Bank, only 37% of Brazilians have participated in a financial education program, and only 23% of those living in rural areas have access to financial education resources. To address these challenges, more collaboration and investment from all players will be necessary to promote financial literacy and inclusion throughout the country.

### **Macroeconomic Effects:**

The financial education system in Brazil has significant macroeconomic implications. Financially literate individuals are more likely to make informed financial decisions, which can lead to a more stable and efficient financial system. This, in turn, can promote economic growth by increasing savings rates, investment rates, and labor productivity.

According to the Brazilian Central Bank, financial education has a positive impact on the financial behavior of individuals. A study by the bank found that individuals who received financial education were more likely to have savings accounts, credit cards, and insurance policies. Additionally, they were less likely to be over-indebted or delinquent on their loans.

Moreover, financial education can contribute to the development of the country's capital market. Informed investors are more likely to invest in the stock market, which can lead to increased demand for securities and boost the performance of the capital market. A study by the World Bank found that countries with higher levels of financial literacy had more developed stock markets.

On the other hand, the lack of financial education can lead to market failures, such as information asymmetry and adverse selection, which can undermine the efficiency of financial markets. For instance, individuals with limited financial knowledge may fall victim to scams or make poor investment decisions, which can lead to financial losses and harm market efficiency.

According to a study by the National Bureau of Economic Research, financial education programs can lead to higher levels of financial literacy, which in turn can increase household savings rates. This can contribute to economic growth by providing a pool of funds for investment and entrepreneurship.

### **Financial Education Problems:**

Brazil faces significant challenges in improving financial education among its citizens. Lack of access, low participation, limited awareness, and poor quality of financial education programs are the primary obstacles. According to a survey by the Brazilian Central Bank, only 32% of the population in the country has basic financial knowledge.

First, it is important to address why financial literacy is so important to the long-term financial health of individuals. It helps individuals learn how to budget, manage debt, invest wisely, and understand financial products. By investing in financial education, individuals can make informed decisions, avoid debt, build wealth, and achieve their financial goals. If individuals are able to begin doing these things, they will be much more likely to be financially

secure and in control of their financial health. It is also important to identify the disparity in education and how that leads to differences in long term financial health of individuals. Simply put, wealth disparity leads to richer individuals sending their children to better schools and poorer individuals having to settle on subpar education. This leads to a growing disparity in wealth and the poorer individuals lack an opportunity to move up.

So, to address these problems, one potential solution is to increase investment in digital financial education platforms and mobile applications to reach a wider audience, particularly those in remote areas with limited access to traditional financial education resources. The government can also establish financial education centers in underserved areas, in partnership with the private sector, to provide access to financial education programs and resources.

Another potential solution is to implement targeted outreach programs to increase participation rates, particularly among lower-income individuals. Financial education programs can be integrated into school curriculums, community organizations can be engaged to increase participation rates, and innovative approaches such as gamification can be adopted to make financial education more engaging and fun.

To address the limited awareness of financial education programs, public awareness campaigns can be launched, highlighting the benefits of financial education and the resources available. Institutions can collaborate with schools and community organizations to increase awareness of financial education programs and their benefits.

Finally, to improve the quality of financial education programs, the government can introduce regulations that ensure financial education programs meet specific quality standards. Collaboration with experts and stakeholders can help design effective financial education programs that address the specific needs of different groups. Institutions can also incorporate technology in financial education programs to enhance the learning experience and make it more interactive.

## **Conclusion:**

The Brazilian financial education system is a crucial part of the country's financial ecosystem. It aims to promote financial literacy, inclusion, and responsible behavior among consumers, contributing to economic growth and stability. While there are still significant challenges to be addressed, the efforts of various institutions and organizations to promote financial education in Brazil are a positive step towards a more prosperous and financially healthy future.

## **Financial Technology**

### **Brazilian Financial Technology Landscape:**

The Brazilian financial technology (fintech) sector has experienced explosive growth in recent years, driven by a combination of favorable government policies, increased investment, and demand for innovative financial services. As a result, Brazil's fintech ecosystem has become one of the most dynamic and fast-growing in the world.

According to a recent report by Distrito Fintech, there are currently more than 1,600 fintech companies operating in Brazil, up from just 54 in 2011. These companies operate in a variety of sectors, including payments, lending, investment, and insurance.

One of the key drivers of fintech growth in Brazil has been the country's large unbanked population. According to the World Bank, around 45% of the adult population in Brazil does not have a bank account. Fintech companies have been able to leverage mobile and online technologies to offer financial services to this underserved population, such as digital wallets, microcredit, and remittances. In fact, digital wallets have become the most popular form of payment among Brazilians, with 45% of the population using them to make payments in 2020.

In addition to serving the unbanked population, fintech companies have also been successful in attracting customers away from traditional financial institutions. For example, Nubank, a digital bank that offers credit cards and other financial services, has amassed over 40 million customers since its launch in 2013. Similarly, StoneCo, a payments processing company, has grown rapidly and went public on the NASDAQ in 2018.

Brazil's fintech ecosystem has also benefited from government support and favorable policies. In 2018, the Brazilian government passed a law allowing for open banking, which requires banks to share customer data with other financial institutions. This has facilitated the development of new fintech services and has enabled companies to offer more personalized and tailored financial services to customers.

Despite the rapid growth of Brazil's fintech sector, challenges remain. One of the biggest challenges facing fintech companies in Brazil is the lack of financial literacy and access to technology, particularly in rural areas. Regulatory uncertainty and bureaucracy can also hinder the growth of fintech companies in Brazil. One key issue is the complex and fragmented regulatory framework for financial services, which can create barriers to entry for new players in the market. For example, fintechs may be subject to a range of licensing and registration requirements, as well as ongoing regulatory oversight and compliance obligations. Additionally, the Brazilian tax system is notoriously complex, with a high number of taxes, fees, and charges levied at different levels of government. This can make it difficult for fintechs to navigate the tax code and comply with their obligations. Another challenge is the limited access to financing for startups, particularly those that are still in the early stages of development. Fintechs may struggle to secure funding from traditional sources, such as banks or venture capital firms, which can limit their ability to grow and scale their operations. However, with continued government support and investment, Brazil's fintech sector is poised for continued growth and innovation.

### **Major Players in Brazilian Fintech:**

Brazil's fintech sector is home to a number of successful and innovative companies. Below are three leading players in the Brazilian fintech space and what makes them unique:

Nubank is one of the largest and most successful digital banks in the world, with over 40 million customers. The company was founded in 2013 and offers credit cards, savings accounts, personal loans, and other financial services. Nubank's success can be attributed to its focus on providing a user-friendly and transparent banking experience for its customers. For example, Nubank's credit card offerings have become hugely popular among young, tech-savvy Brazilians due to their lack of annual fees and interest rates that are often lower than those of traditional banks. Additionally, Nubank has invested heavily in technology to improve the customer experience, including developing a mobile app that allows customers to manage their accounts and track their spending in real-time.

Creditas is a digital lending platform that offers secured loans, such as home equity loans and auto loans. The company was founded in 2012 and has raised over \$570 million in funding. What sets Creditas apart from traditional banks and other fintech lenders is its focus on providing

lower interest rates and more flexible repayment terms for its customers. For example, Creditas' home equity loans allow homeowners to use their property as collateral and borrow up to 60% of its value at interest rates that are often lower than those of traditional banks. Creditas has also expanded beyond Brazil and now operates in Mexico and Spain, indicating its success and ambition to become a global player in the fintech lending space.

StoneCo is a payments processing company that went public on the NASDAQ in 2018. The company processes over \$30 billion in transactions annually and serves over 600,000 merchants. What sets StoneCo apart from other payments processing companies is its focus on providing a complete suite of financial services to its customers, including loans and investment options. StoneCo has also invested in other fintech companies, such as Creditas and Warren, to diversify its offerings and expand its reach in the Brazilian fintech ecosystem. StoneCo's success is due in part to its ability to cater to the needs of small and medium-sized businesses in Brazil, which have historically been underserved by traditional banks and financial institutions.

These three companies are just a small sample of the innovative and successful fintech companies operating in Brazil today. Each company has been able to differentiate itself in a crowded market by providing unique and customer-focused financial services, whether through lower interest rates, user-friendly interfaces, or a complete suite of financial offerings. As the fintech sector in Brazil continues to grow and mature, we can expect to see more companies emerge and new innovations in financial services.

### **Macroeconomic Effects:**

Fintechs have had a significant impact on the macroeconomy in Brazil. By promoting financial inclusion and driving innovation and competition in the financial sector, fintechs are helping to create more efficient and cost-effective financial services. This is particularly important in Brazil, where high banking fees and interest rates have traditionally been a barrier to economic growth.

According to a 2018 report by the Inter-American Development Bank, fintechs have the potential to create 30 million new jobs and increase GDP by \$2.1 trillion in Latin America and the Caribbean. In Brazil specifically, fintechs are providing access to affordable and accessible financial services for underserved communities and lower-income individuals. For example, digital payment platforms like Mercado Pago and PicPay are gaining popularity among businesses as a way to process payments more efficiently and securely. Peer-to-peer lending platforms like Nexoo and Rebel are providing access to credit for small businesses and individuals who may not have been able to secure loans from traditional financial institutions.

However, there are also challenges that need to be addressed. Cybersecurity is a major concern, as fintechs are often targets for cyber-attacks due to the sensitive financial information that they hold. Additionally, it is also important to ensure that consumers are protected and not taken advantage of by unscrupulous companies. A final major challenge of Brazilian fintechs is their regulation. There is a need for clear and consistent regulation to ensure that fintechs are operating in a safe and secure manner. To support safe fintech growth, the Brazilian government has launched regulatory sandboxes to test new fintech products and services. For example, the Brazilian Development Bank (BNDES) has launched a new credit line specifically for fintech startups, with a focus on companies that support financial inclusion and sustainable development. According to news reports, the credit line was received positively by the fintech community in Brazil, with many expressing their optimism about the initiative.

**Financial Technology Challenges:**

While the fintech industry in Brazil has seen impressive growth over the past few years, it still faces a number of challenges that could hinder its further development.

One of the main challenges facing the fintech industry in Brazil is the complex and sometimes unclear regulatory environment. While the Central Bank of Brazil has taken steps to create a more favorable environment for fintechs, including the creation of a regulatory sandbox for testing new financial services, the industry still faces a number of obstacles. For example, many fintechs are required to obtain multiple licenses and approvals from different regulatory bodies, which can be time-consuming and costly. In addition, the lack of a unified regulatory framework for fintechs can create uncertainty and hinder investment in the sector.

Another major challenge facing fintechs in Brazil is access to capital. While the sector has seen a significant increase in investment over the past few years, much of this funding has gone to a small number of high-profile companies. Smaller and newer fintechs may struggle to secure funding, particularly in the current economic climate. In addition, traditional banks and financial institutions may be hesitant to invest in fintechs due to concerns about competition and the potential impact on their own businesses.

Despite the rapid growth of the fintech industry in Brazil, financial inclusion remains a challenge. According to a 2020 report by the World Bank, around 45% of the Brazilian population does not have access to basic financial services. While fintechs have the potential to increase financial inclusion by providing more affordable and accessible financial services, many still struggle to reach underserved communities and lower-income individuals. This may be due in part to a lack of trust in digital financial services among these populations, as well as a lack of financial education and awareness.

Finally, cybersecurity and data privacy are major concerns for both fintech companies and their customers in Brazil. According to a 2020 report by the Brazilian Association of Fintechs, 58% of fintechs in the country have experienced some form of cyberattack. In addition, concerns about data privacy and protection have become more acute in recent years, particularly with the passage of Brazil's General Data Protection Law in 2018. Fintechs must invest in robust cybersecurity measures and data protection policies to protect their customers and maintain their trust.

While these challenges may seem daunting, they also present opportunities for fintech companies to innovate and differentiate themselves from their competitors. Companies that can navigate the regulatory landscape, secure funding, promote financial inclusion, and protect customer data will be well-positioned to succeed in the rapidly evolving fintech ecosystem in Brazil.

**Conclusion:**

Overall, the financial technology sector in Brazil has seen significant growth in recent years, driven by the increasing demand for innovative financial services and favorable regulatory environment. Despite some challenges and problems, such as competition from established financial institutions and regulatory uncertainty, the sector is poised for continued growth in the coming years. As financial technology continues to evolve and innovate, it has the potential to contribute to greater financial inclusion, economic growth, and stability in Brazil.

# Insurance Companies

## Brazilian Insurance Landscape:

Brazil's insurance companies play a pivotal role in the country's financial ecosystem. They contribute significantly to the economy by providing risk management solutions and generating employment.

The Brazilian insurance market is the largest in Latin America, with a total premium volume of approximately BRL 273.6 billion in 2020, accounting for 3.85% of the country's GDP. Despite this impressive figure, insurance penetration in Brazil is relatively low, with a rate of around 4.3% in 2020, compared to the global average of 7.2%. This suggests ample opportunities for growth and expansion in the sector.

The insurance industry in Brazil is primarily driven by three segments: life, health, and property & casualty (P&C) insurance. Life insurance accounted for 35.7% of the total premiums in 2020, while health insurance constituted 27.8%, and P&C insurance made up 36.5%. The life insurance segment has been growing at a steady pace, with a compound annual growth rate (CAGR) of 9.3% between 2016 and 2020.

Brazil's insurance sector is characterized by a high degree of concentration, with the top five insurers holding a combined market share of nearly 72.3% in 2020. These companies invest heavily in digital transformation, customer-centric products, and innovative risk management solutions to maintain their competitive edge in the market.

## Major Players in the Insurance Sector:

Brazil's insurance sector is characterized by the presence of several prominent players that significantly contribute to the overall financial ecosystem. In this section, we provide an in-depth analysis of two leading insurance companies in Brazil.

Banco Bradesco Seguros, a subsidiary of Banco Bradesco, is one of the largest insurance companies in Brazil. With a market share of approximately 25.4% in 2020, it has established itself as a dominant player in the insurance sector. Bradesco Seguros offers a wide range of insurance products, including life, health, auto, and property insurance, catering to the diverse needs of individuals and businesses. In 2020, Bradesco Seguros reported gross written premiums of BRL 77.3 billion, representing a 6.1% increase compared to the previous year. Its net income amounted to BRL 7.5 billion, reflecting a 5.8% year-on-year growth. The company's strong performance can be attributed to its extensive distribution network, robust risk management practices, and focus on customer-centricity.

SulAmérica is another leading insurance provider in Brazil, with a market share of approximately 10% in 2020. Founded in 1895, the company has a long-standing presence in the Brazilian insurance landscape. SulAmérica offers a comprehensive suite of insurance products, encompassing health, life, auto, and property insurance. The company's gross written premiums reached BRL 22.7 billion in 2020, marking a 4.3% increase compared to the previous year. Its net income stood at BRL 1.3 billion, representing a 3.7% growth year-on-year. SulAmérica's strong financial performance can be attributed to its commitment to innovation, extensive product portfolio, and strategic partnerships with healthcare providers and other businesses.

## Macroeconomic Effects:



Insurance companies significantly impact Brazil's macroeconomy through their contribution to GDP, inclusive growth, and financial stability. The insurance sector, with a total premium volume of approximately BRL 273.6 billion in 2020, accounted for 3.85% of the country's GDP. The growth of this industry not only supports overall economic expansion but also provides a safety net for individuals and businesses, enabling them to make informed investments and financial decisions.

Insurance companies promote inclusive growth by providing risk management solutions to individuals and businesses, enabling them to navigate uncertainties and safeguard their financial well-being. A more extensive insurance coverage helps reduce income disparities and promotes social mobility, as people can invest in opportunities without the fear of financial ruin.

Last, insurance companies play a vital role in maintaining Brazil's financial stability by providing risk management solutions to individuals, businesses, and the government. They help absorb financial shocks, reduce the burden on public finances, and support economic resilience during periods of uncertainty.

### **Conclusion:**

In conclusion, insurance companies in Brazil contribute to stable economic growth by providing risk management services that allow individuals and businesses to weather difficult times. Though they face a few notable challenges, including regulatory constraints and pressure to provide greater transparency, they have also experienced significant tailwinds in recent years. New opportunities have risen from digital transformation, innovation, and collaborative partnerships. Overall, insurance companies are essential components of Brazil's financial ecosystem and they will be crucial in allowing for sustainable growth and financial protection as the country develops further.

## **Non-profit Organizations**

### **Brazilian NPO Landscape:**

Brazil is home to a vibrant non-profit sector, with over 820,000 registered non-profit organizations, as of 2020. These organizations operate in various areas, such as education, healthcare, social development, and environmental conservation. Non-profits contribute significantly to Brazil's social and economic development by addressing key challenges, including poverty, inequality, and inadequate access to essential services.

In 2018, Brazilian NPOs employed approximately 2.4 million people, accounting for around 5.2% of the country's total employment. The non-profit sector is a significant job creator, especially for women, who make up 65% of the workforce in this sector.

Non-profits in Brazil rely on diverse funding sources, including government grants, private donations, and corporate partnerships. In 2018, the total revenue for the non-profit sector reached BRL 127 billion, with government funding accounting for 43.4% of the total revenue, followed by private donations at 29.5%, and corporate partnerships at 27.1%.

### **Major Players in the NPO Sector:**

Brazil's NPO sector is comprised of thousands of organizations that contribute to the financial ecosystem. In this section, we provide an in-depth analysis of two non-profit

organizations in Brazil that focus specifically on Brazilian youth. Because of their focus on youth, they are particularly relevant to FinMango's mission of supporting the financial health of young adults in transition.

Instituto Ayrton Senna is a renowned non-profit organization in Brazil, founded in 1994 in memory of the legendary Brazilian Formula 1 driver, Ayrton Senna. The organization's mission is to promote quality education and support the development of children and young people across Brazil. The institute has positively impacted over 25 million students since its inception, working closely with public schools and government agencies. In 2020, Instituto Ayrton Senna reached more than 1.6 million students through its programs, with a total investment of BRL 75.4 million in educational initiatives. Instituto Ayrton Senna focuses on three main areas: teacher training, educational management, and the development of innovative educational solutions. The organization's comprehensive approach has contributed significantly to the improvement of educational outcomes and the promotion of social mobility in Brazil.

Fundação Abrinq is a prominent Brazilian non-profit organization working towards the protection and promotion of children's rights. Established in 1990, the organization has partnered with more than 7,000 companies, positively impacting the lives of over 8 million children and adolescents through various programs and initiatives. Fundação Abrinq focuses on four primary areas of intervention: education, health, child protection, and social development. In 2020, the organization allocated approximately BRL 60 million towards these initiatives, directly benefiting more than 300,000 children and adolescents. Furthermore, the organization has played a pivotal role in influencing public policies and mobilizing resources for child rights and welfare.

### **Macroeconomic Effects:**

NPOs play a crucial role in promoting social welfare and addressing pressing social and environmental issues. By focusing on education, healthcare, and social development, NPOs help create a more equitable society and foster sustainable growth. Their initiatives directly contribute to the improvement of living standards for marginalized communities and the overall population.

Additionally, NPOs impact Brazil's macroeconomy through their contribution to employment generation and their efforts towards social welfare. They are significant employers in Brazil, providing jobs for around 2.4 million individuals in 2018. These organizations also contribute to skill development in various sectors, such as finance, healthcare, education, and environmental conservation, thus fostering human capital and enhancing productivity.

### **Conclusion:**

In conclusion, NPOs in Brazil are essential components of the country's financial ecosystem. They contribute to economic growth, employment generation, and social welfare by addressing critical social and environmental issues. Despite challenges around resource constraints, NPOs in Brazil have strong potential for continued growth and positive impact. They will be pivotal in shaping Brazil's long-term social and economic development.

## **Summary of Overarching Financial Challenges**

As outlined throughout this analysis, the Brazilian financial ecosystem faces many challenges hindering economic development and financial health. This section summarizes four

pervasive issues faced across Brazil's financial landscape: limited financial education, lack of financial inclusion, cybersecurity threats, and regulatory constraints.

### **Limited Financial Education:**

Brazil faces a significant challenge in the form of limited financial literacy among its population. According to the S&P Global Financial Literacy Survey conducted in 2020, only 35% of Brazilian adults were financially literate, significantly lower than the global average of 52%. This lack of financial education leads to poor financial decision-making, higher debt levels, and limited access to financial products and services. Players across the financial ecosystem must collaborate to design and implement financial literacy programs targeting different segments of the population, including students, low-income communities, and women. By empowering individuals with financial knowledge, the ecosystem can foster responsible financial behavior and drive sustainable economic growth.

### **Lack of Financial Inclusion:**

Despite Brazil's advancements in financial services, a significant portion of the population remains underserved or excluded from the formal financial system. According to the World Bank's Global Findex Database, in 2020, approximately 45 million adults in Brazil, or 24% of the adult population, were unbanked. Limited access to financial services hinders social and economic development, perpetuating poverty and income inequality. To address financial inclusion, players across the financial ecosystem must develop innovative, low-cost, and accessible financial products and services tailored to the needs of unbanked and underbanked individuals. Collaborative efforts between the public and private sectors are essential to enhance financial infrastructure, promote digital financial services, and facilitate financial access for all.

### **Cybersecurity Threats:**

With the rapid digitalization of financial services in Brazil, cybersecurity threats have emerged as a significant concern for banks, fintech companies, and other financial institutions. According to a report by the Brazilian Federation of Banks (Febraban) in 2020, the financial sector registered more than 700,000 incidents of fraud, resulting in losses of BRL 3.3 billion. Cybercriminals target financial institutions and their customers with sophisticated attacks, such as phishing, ransomware, and identity theft. The increased reliance on digital channels during the COVID-19 pandemic has further exacerbated the issue, with a 70% increase in cyber attacks on financial institutions in Brazil in 2020, as reported by the Brazilian Internet Steering Committee. To combat these threats, financial institutions need to invest in robust cybersecurity infrastructure, employee training, and consumer awareness programs.

### **Regulatory Constraints:**

Brazil's financial ecosystem faces regulatory constraints that impede innovation and hinder the growth of new market entrants, particularly in the fintech and insurance sectors. The country's complex regulatory environment, characterized by multiple regulatory agencies and overlapping jurisdictions, creates compliance challenges and raises operational costs for financial institutions. In response, Brazil's Central Bank and other regulatory bodies have introduced

measures, such as the regulatory sandbox, to promote innovation and reduce barriers for fintechs and insurance companies. However, further regulatory reforms are needed to create a more conducive environment for innovation, competition, and the growth of the financial ecosystem.

## **Conclusion**

In conclusion, this financial ecosystem mapping report has illuminated the multifaceted nature of Brazil's financial landscape, encompassing a diverse range of sectors. These sectors include banks, government organizations, financial education, financial technology, insurance companies, and non-profit organizations.

A thorough examination of these sectors reveals several overarching themes that provide crucial insights into the challenges and opportunities Brazil faces. Namely, as the financial landscape continues to evolve, Brazil must navigate the challenges and opportunities presented by financial education, financial inclusion, cybersecurity threats, and regulatory constraints. When planning future work in Brazil, FinMango should consider these overarching challenges. Projects that aim to address these common issues will likely be pivotal in creating a more robust and sustainable financial ecosystem in Brazil.